

Market research for private equity

Alberta Data Centre Infrastructure

The “picks & shovels” opportunity

Aash Makwana · September 2026

Sources are cited on each slide and listed in the accompanying report.

The question this brief answers

How could the growth of data centres in Alberta create opportunities for small and lower-middle-market businesses that support the data-centre ecosystem?

The short answer: the binding constraint in Alberta is **deliverable power, not demand**. That pushes spending toward electrical, mechanical and controls scope — work performed by a measurably fragmented local supplier base. Whether that is *investable* depends on a mix question most of the narrative gets wrong.

Scope: supporting businesses, not data centre operators.

Where the Alberta market stands, September 2026

**20,600
MW**

Data centre load
requested from
the AESO

**13,000
MW**

Alberta system peak
demand, for
comparison

1,200 MW

Interim connection
limit to 2028 — fully
allocated

C\$13bn

Meta Sturgeon
County campus, 1
GW, broke ground
July 2026

\$100bn

Provincial five-year
target (a goal, not a
forecast)

Interpretation: this stopped being a proposal market in 2026. Meta broke ground in July; the grid queue is now larger than the province's entire peak demand.

Demand far exceeds what the grid can deliver

Data centre load
requested
from the AESO



20,600 MW

September 2026

Alberta system
peak demand



13,000 MW

whole province

Interim large-load
connection
limit to 2028

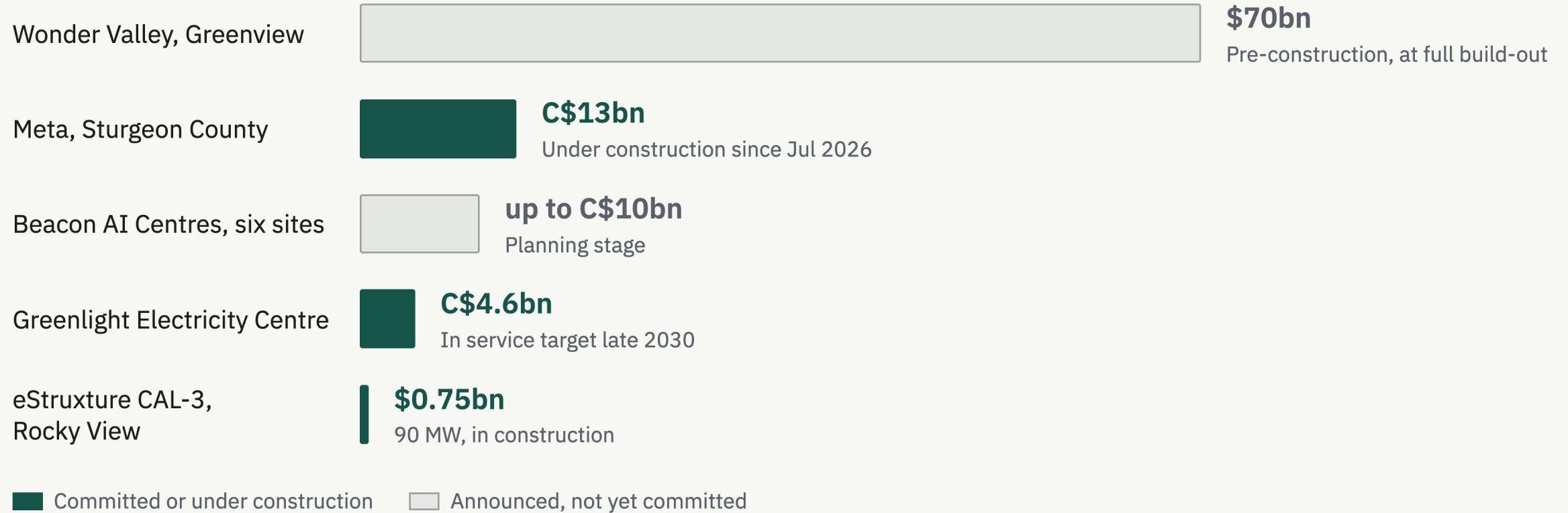


1,200 MW

fully allocated

Interpretation: the queue is not a pipeline. Roughly 6% of requested load can connect this decade without new generation or transmission, which is why Alberta moved to a “bring your own generation” framework.

The biggest announced number is the least committed



Source: Alberta Major Projects inventory; company announcements (Meta, Pembina, Beacon, eStruxture).

Real advantages, real constraints

What supports development

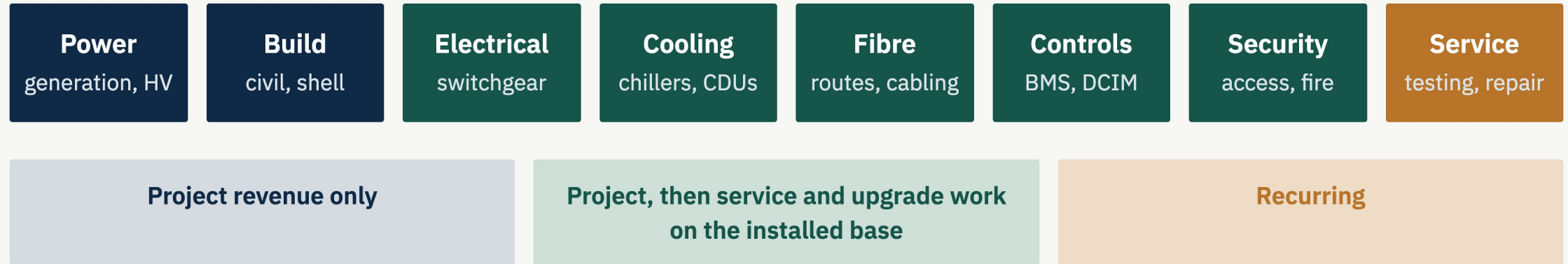
- Deregulated market; BYOG allows self-supply
- Low-cost gas at a discount to US benchmarks
- Large industrial-zoned land near utility corridors
- Cold climate cuts the cooling load
- Oil-and-gas trades and EPC capacity already local

What constrains it

- Interim 1,200 MW allowance fully allocated
- Gas pipeline capacity may not keep pace
- Siting is contested; municipalities control zoning
- Liquid-cooling capability less established locally
- 43,400 Alberta trades retiring by 2034

Interpretation: the constraints do not argue against the trend; they argue about timing and mix. Supplier revenue is likely to be lumpy and front-loaded toward power and electrical scope.

Eight scopes of work — only one is truly recurring



Why it matters: a buyer is paying for durability. The five green stages convert an installed base into service revenue over time; the first two do not convert at all.

Short labels: Build = construction; Fibre = connectivity and structured cabling; Service = critical-facility maintenance.

Five categories — and who already does this work here

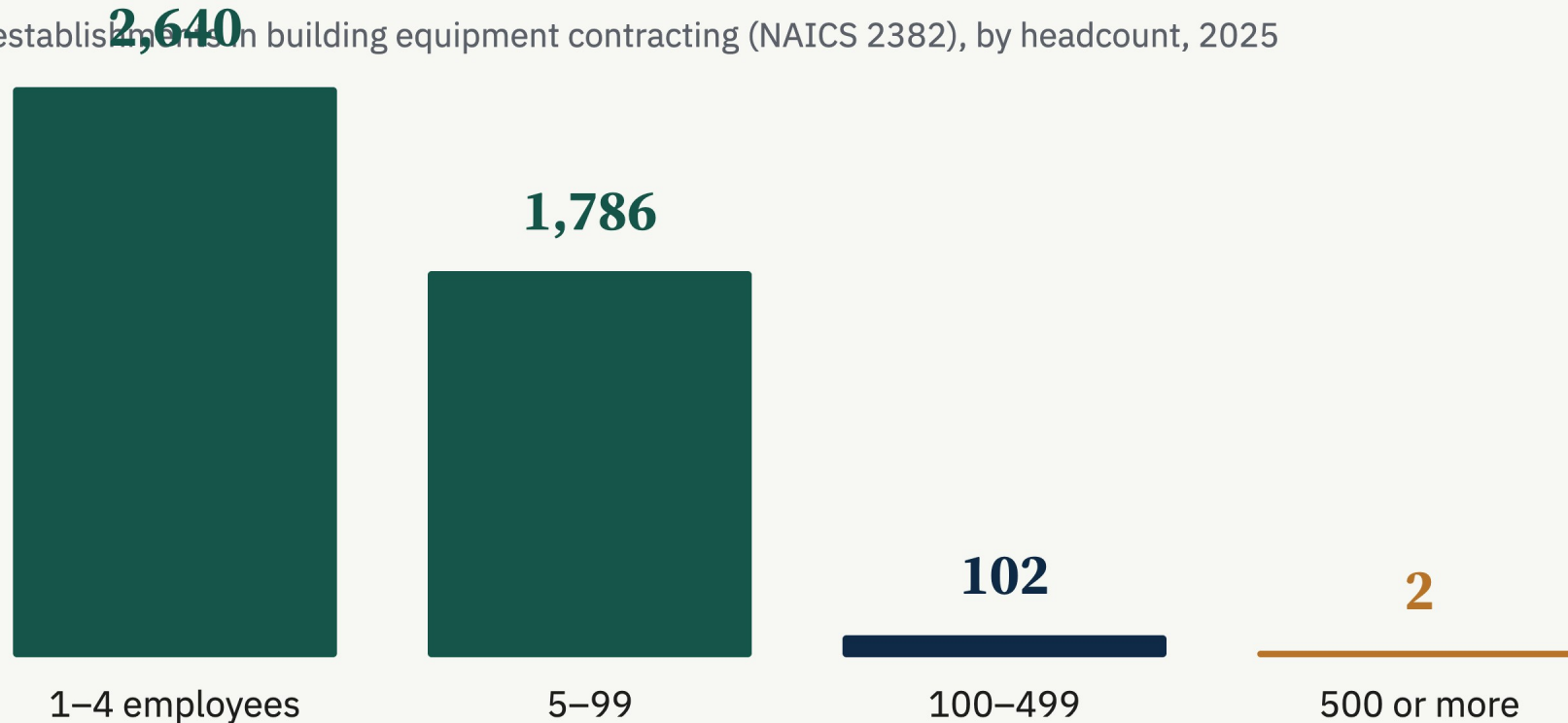
Category	What drives the demand	Revenue character	An Alberta company in this space
Electrical	Power distribution, switchgear, standby generation and commissioning scale directly with installed MW	Project-weighted	Western Electrical Management (Calgary, Edmonton)
Cooling	Chillers, pumps and piping are core scope; AI rack densities push designs toward liquid cooling	Balanced	Trotter & Morton (Calgary)
Controls	Building management and instrumentation are required for uptime guarantees and reporting	Strongest recurring	Spartan Controls (Calgary)
Connectivity	Fibre routes, structured cabling and certification testing at every site	Mostly project	EPCOR dark fibre (Edmonton)
Maintenance	Preventive maintenance, testing and emergency response, contracted and renewed annually	Genuinely recurring	Finning International (Edmonton, TSX: FTT)

Important caveat: Finning and Spartan Controls are large enterprises, not lower-middle-market targets. The investable layer sits one level below — in the subcontractors these firms award work to, most of them private and not publicly visible.

Company descriptions from public company sources. Named for illustration only — not acquisition suggestions.

The supplier base is measurably fragmented

Alberta employer establishments in building equipment contracting (NAICS 2382), by headcount, 2025

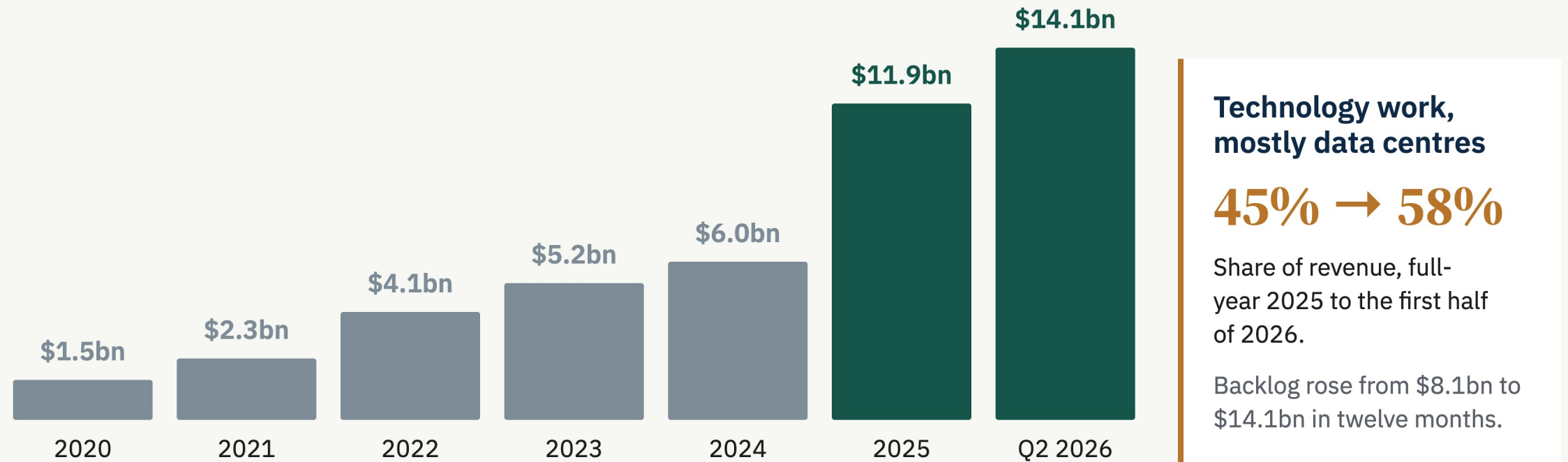


Interpretation: 97.7% of 4,530 establishments employ fewer than 100 people, and only 104 province-wide have the headcount to credibly staff a hyperscale scope. That is the structure buy-and-build strategies look for — though it says nothing about whether owners will sell, or at what price.

Source: Statistics Canada special tabulation via ISED Canadian Industry Statistics, NAICS 2382, 2025.

The trade is real: evidence from the listed comparable

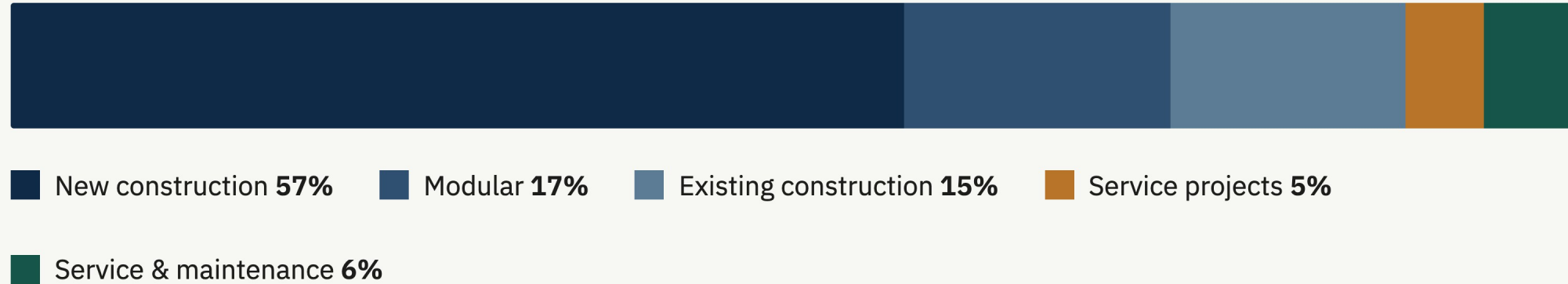
Comfort Systems USA (NYSE: FIX) backlog, the largest listed US mechanical and electrical contractor



Source: Comfort Systems USA Form 10-Q, quarter ended 30 June 2026, and Q2 2026 investor presentation (SEC EDGAR).

But check the claim everyone repeats

Comfort Systems USA revenue mix, first half of 2026



Only 11% of revenue is service work — and just 6% is contracted maintenance.

The data centre boom is, so far, overwhelmingly a project-revenue phenomenon. Recurring income builds slowly behind the installed base. Any investor underwriting “recurring revenue” here should verify the actual mix rather than assume it.

Why a private equity investor would look

Fragmentation

97.7% of Alberta establishments are sub-100 employees; only 104 have hyperscale-capable headcount.

Mission-critical

Contractual uptime obligations make switching on price alone less likely — for service, not bid work.

Recurring revenue

Real but small today. Verify it from contracts, not from management estimates.

Technical barriers

Safety Codes certification, bonding capacity and OEM authorisations that are granted, not bought.

Cross-selling

Oil-and-gas contractors already hold the trades — which also means the capability is not scarce.

Consolidation

Preconditions are present. Owner-operators in a strong market have little pressure to sell.

Three of these six carry a caveat as large as the argument. That is deliberate — the characteristics are present, but none of them is established at the company level by public data.

The structure — and what has to hold for it to work



Framework only. Not a recommendation, and not evidence that any of these conditions currently hold in Alberta.

What could go wrong

Projects get refused, not just delayed

The AUC denied the 1,400 MW plant for the \$10bn Olds campus in August 2026 on siting grounds.

A second bottleneck in natural gas

Pipeline and supply capacity may not scale with generation demand.

Customer concentration

A single hyperscale client can reach 40–60% of revenue within two years.

Grid capacity caps the near-term pipeline

The 1,200 MW allowance is allocated; the first BYOG intake slipped to autumn 2026.

Skilled labour is the operating constraint

Wage inflation compresses fixed-price margins; buying a backlog is not buying capacity.

The capital-expenditure cycle

Spending is set by a handful of global buyers; peak-cycle multiples carry obvious risk.

685

parties sought standing at the Olds hearing

43,400

Alberta trades retiring by 2034

43,600

new hires needed just to hold staffing flat

What an investor would need to verify

- 1 What share of revenue is genuinely exposed to data centres today, versus merely adjacent?
- 2 What is the split between one-time project revenue and contracted recurring service revenue?
- 3 What percentage of revenue comes from the top five customers?
- 4 What is the backlog, and how much is signed versus verbally awarded?
- 5 What are EBITDA margins by contract type, and how have fixed-price jobs performed against bid?
- 6 How dependent is delivery on specific certified individuals, and what is the apprentice pipeline?
- 7 What OEM authorisations and client pre-qualifications survive a change of control?
- 8 Can the business win work outside Alberta if the provincial cycle turns?

None of these can be answered from public information. That is the honest limit of this research — and the reason a top-down screen is a poor substitute for direct sourcing.

Where this leaves us

Alberta's data centre build is underway, not prospective — and it creates real secondary demand across electrical, mechanical, controls, connectivity and maintenance providers.

The interesting businesses are not the operators. They are the specialised suppliers beneath them, in a base that is measurably fragmented and already locally staffed.

The open question is narrower than the trend: do these firms hold durable recurring revenue and technical barriers — or does the cycle simply deliver a large volume of fixed-price project work into a labour-constrained market?

Full report, sources and methodology: Alberta Data Centre Infrastructure — The “Picks & Shovels” Opportunity, September 2026.